

Intel Corporation

INTC • NASDAQ Global Select • Semiconductors • United States

RECOMMENDATION SELL 12-month horizon	CURRENT PRICE 114.68 USD as of report date	TARGET PRICE 98.00 USD 12-month fundamental		
IMPLIED UPSIDE -14.5% vs. current price	MARKET CAP USD 561.8 bn shares × price	ENTERPRISE VALUE USD 646.5 bn mcap + net debt		
P/E 2026E 106.4×	EV/EBITDA 2026E 26.5×	FCF YIELD 2026E 0.4%	DIVIDEND YIELD 2026E 0.7%	NET DEBT / EBITDA 2026E 1.1×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

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MARKET CAP USD 561.8 bn shares × price	ENTERPRISE VALUE USD 646.5 bn mcap + net debt	P/E · EV/EBITDA 2026E 106.4x · 26.5x forward forecast basis	FCF · DIV YIELD 2026E 0.4% · 0.7%

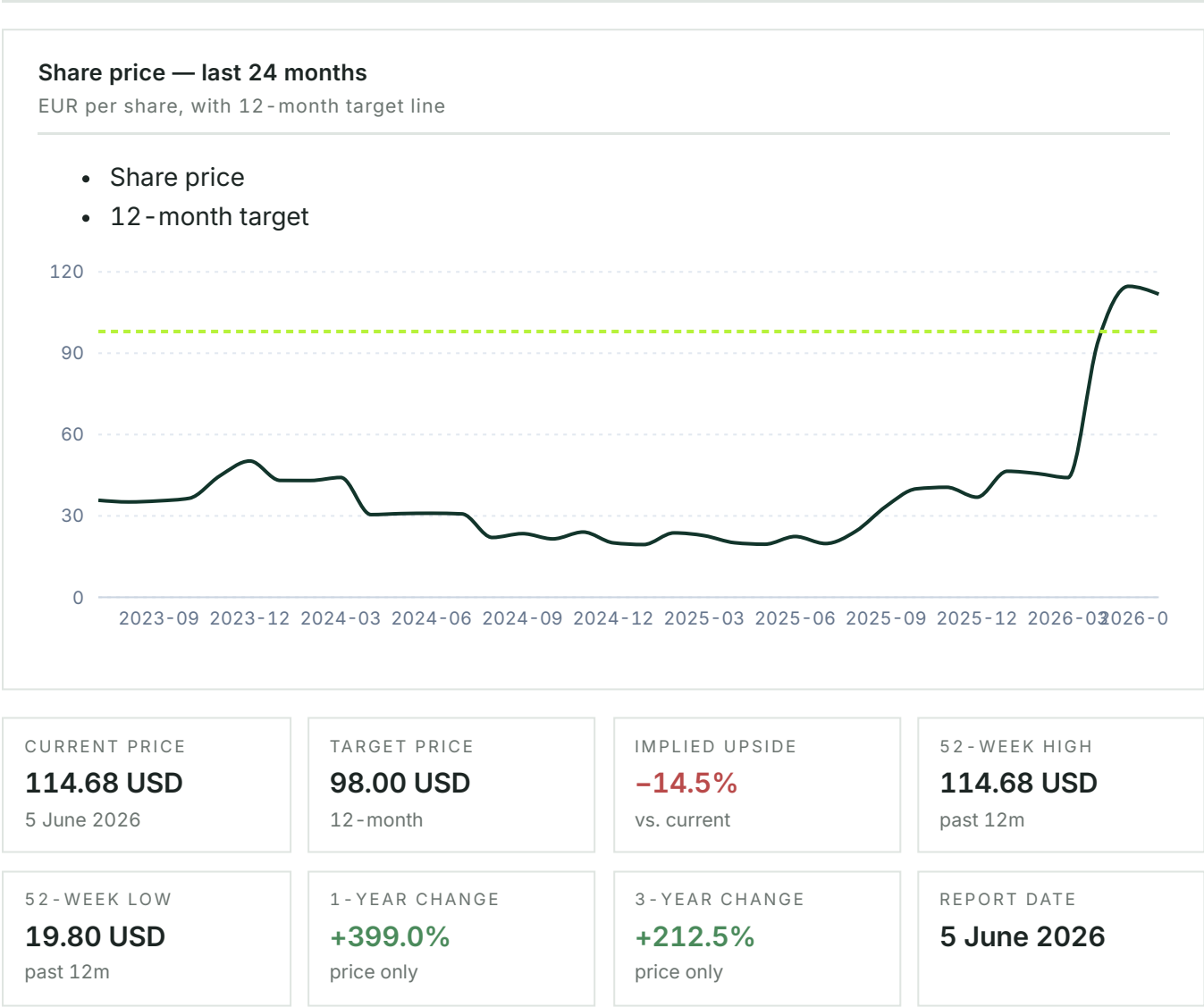
■ 01 Extreme Valuation Premium vs Earnings The enterprise value carries a staggering \$500 billion premium over the baseline \$80 billion valuation supported by a highly fragile projected \$5.2 billion consolidated operating profit. ----- \$500B premium	02 Severe Structural Foundry Challenges Severe structural foundry challenges persist: a \$9.6 billion operating deficit and \$24.3 billion in annual capital expenditure mechanically erase the product earnings needed to support the consolidated valuation. ----- -\$9.6B deficit	03 Unrealistic Data Center Scaling Needs Justifying the \$300 billion valuation assigned to the data center segment demands aggressive revenue scaling from \$20.8 billion to \$42.8 billion, creating intense and unsustainable execution risk. ----- \$42.8B required sales
THESIS BREAKER	Announcement of a non-DoD, tier-1 commercial customer committing high volume to the 18A node would validate the strategic option thesis.	

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



VALUE BREAKDOWN · PART 1

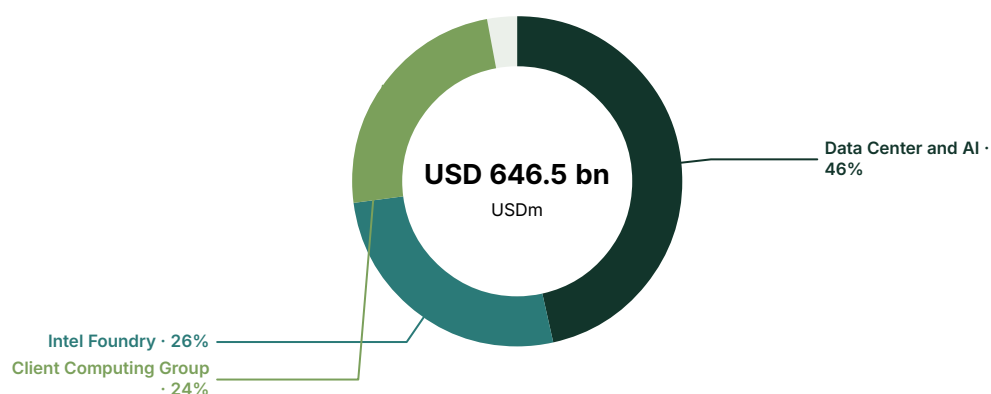
Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Data Center and AI	20,796	37.8%	6,000	114.2%	300,000	46.4%	Scaling
Intel Foundry	385	0.7%	-9,600	-182.8%	170,463	26.4%	Emerging option
Client Computing Group	31,359	57.0%	10,400	198.0%	156,000	24.1%	Profit engine

VALUE BREAKDOWN · PART 2

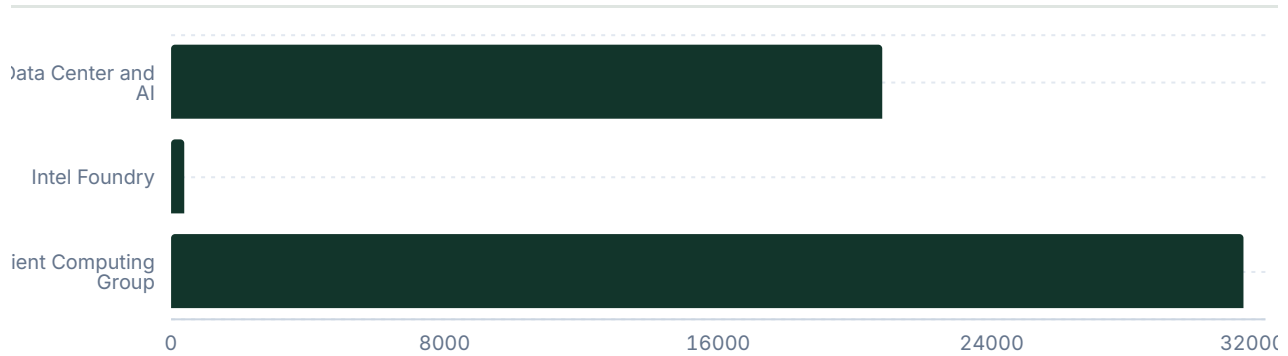
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

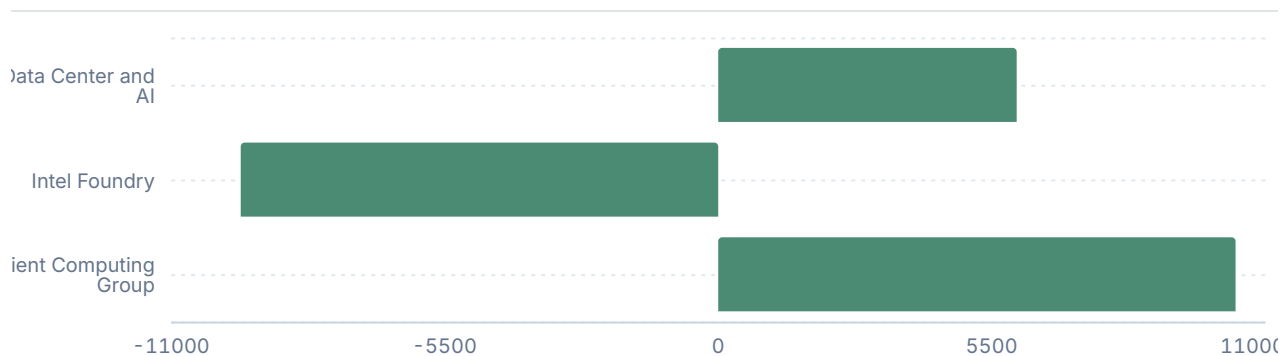
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

Intel's enterprise value allocation reflects the market's "Fabs Over Figures" thesis. Nearly half of the \$646.4B valuation is driven by the surging Data Center and AI unit, while 26% is assigned to the Intel Foundry. Because the Foundry currently generates massive losses, this allocation represents future geopolitical and strategic option value rather than capitalized current cash flows.

RECOMMENDATION

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Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

At \$114.68, the stock trades at an extreme valuation premium with no near-term fundamental support, which reinforces our core SELL rating. We set a realistic target price of \$98, implying roughly 15 percent downside over the next nine months.

Intel's \$646.5 billion enterprise value embeds a \$500 billion premium over the \$80 billion valuation implied by its \$5.2 billion projected 2026 operating profit. That pricing assumes the Data Center and AI (DCAI) segment profit scales from \$6.0 billion to \$15.0 billion and a \$9.6 billion foundry loss structurally reverses.

The absolute re-rating driver is commercial validation of the 18A process node in 2026, which requires massive external volume commitments to absorb \$24.3 billion in annual capital expenditure and keep the foundry from stranding legacy cash flows.

SELL

TARGET PRICE

98.00 USD

CURRENT PRICE

114.68 USD

IMPLIED UPSIDE

-14.5%

12-MONTH VIEW

The extreme valuation premium lacks near-term fundamental support, risking significant downside as severe foundry capital exhaustion threatens consolidated earnings.

MAIN DRIVER

Foundry capital exhaustion and operating deficits

MAIN RISK

Tier-1 18A node volume commitments



01 Extreme Valuation Premium vs Earnings

The enterprise value carries a staggering \$500 billion premium over the baseline \$80 billion valuation supported by a highly fragile projected \$5.2 billion consolidated operating profit.

\$500B premium

02 Severe Structural Foundry Challenges

Severe structural foundry challenges persist: a \$9.6 billion operating deficit and \$24.3 billion in annual capital expenditure mechanically erase the product earnings needed to support the consolidated valuation.

-\$9.6B deficit

03 Unrealistic Data Center Scaling Needs

Justifying the \$300 billion valuation assigned to the data center segment demands aggressive revenue scaling from \$20.8 billion to \$42.8 billion, creating intense and unsustainable execution risk.

\$42.8B required sales

THESIS BREAKER

Announcement of a non-DoD, tier-1 commercial customer committing high volume to the 18A node would validate the strategic option thesis.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

The foundational premise of the current valuation: Intel's historical product businesses must fund the capital-intensive incubation of a sovereign-backed commercial foundry.

Intel earns its economic output almost entirely from its traditional product design divisions. The Client Computing Group (CCG) generates the bulk of consolidated volume and operating profit, functioning as a mature cash engine. The Data Center and AI (DCAI) segment supplies the margin expansion and structural growth narrative. Combined, these two segments produce an estimated \$16.4 billion in annualized operating profit. At the consolidated level, however, that profit is severely diluted by the Intel Foundry, which currently burns approximately \$9.6 billion annually.

Enterprise value is heavily skewed away from current cash generation. The Data Center and AI segment commands 46.4% of the \$646.5 billion group enterprise value, a major market re-rating tied to AI server CPU demand and specialized AI accelerators. The central valuation question is whether the massive cash flows required to stand up the Intel Foundry will exhaust the economic output of CCG and DCAI before the foundry reaches external commercial viability.

ANALYTICAL ANCHOR

The foundational premise of the current valuation: Intel's historical product businesses must fund the capital-intensive incubation of a sovereign-backed commercial foundry.

08

Data Center and AI

Pool deep dive — scaling_current_business.

The Data Center and AI segment currently generates approximately \$20.8 billion in annualized net sales, 37.8% of the consolidated top line. It delivers an estimated \$6.0 billion in operating profit, a robust 28.9% operating margin. Though it accounts for less than 40% of group revenue, it has been allocated \$300 billion in enterprise value (46.4% of the total). The market values the Data Center and AI division as Intel's primary growth engine, pricing it at approximately 50x current operating profit. This premium multiple indicates investors are heavily underwriting Intel's ability to capture a secondary wave of artificial intelligence infrastructure spending.

The data center compute market has undergone structural upheaval over the past three years. Generative AI triggered a violent shift in capital allocation toward accelerated compute (GPUs). Simultaneously, standard server workloads became highly sensitive to power consumption and core density, areas where AMD's chiplet architectures excelled. Intel's value proposition relies on offering an open-ecosystem, lower total-cost-of-ownership infrastructure suite that keeps cloud providers from being entirely locked into proprietary external hardware ecosystems.

The revenue and profit logic requires Intel to more than double its DCAI operating profit to \$15.0 billion to justify the \$300 billion enterprise value at a mature 20x multiple. To reach \$15.0 billion in EBIT at an expanded 35% margin, the segment must generate nearly \$43 billion in revenue. That demands massive volume expansion in both server CPUs and AI accelerators. The equity bridge logic assumes the growth in AI inference data centers expands the total addressable market enough that Intel does not need to crush AMD to hit these numbers, but instead captures a fair share of an expanding pie.

DATA CENTER AND AI
FACT SHEET

SCALING_CURRENT_BUSINESS

NET SALES
\$20.8B

OPERATING PROFIT
\$6.0B

OPERATING MARGIN
28.9%

ALLOCATED EV
\$300.0B

IMPLIED EV/EBIT
50.0x

PRIMARY DRIVER
AI server CPU & Gaudi 3

08

Intel Foundry

Pool deep dive — emerging_option.

The Intel Foundry generates an estimated \$385 million in external net sales, just 0.7% of consolidated revenue. It currently operates at a staggering loss, with an annualized operating deficit of approximately \$9.6 billion. Despite these deeply negative current economics, the segment has been allocated \$170.5 billion in enterprise value (26.4% of the total). This allocation is heavily subsidized by the assumption of sustained sovereign support, including billions in direct funding and loans from the U.S. CHIPS and Science Act.

Foundry economics are dictated by extreme capital intensity and factory utilization. A modern leading-edge fab costs upwards of \$20 billion to construct and equip. To reach profitability, the fab must run at near-maximum capacity, amortizing massive depreciation charges over a high volume of silicon wafers. If utilization drops or defect densities are poor, gross margin collapses into deep negative territory—exactly what the current -\$9.6 billion operating profit reflects.

The economics required to justify a \$170.5 billion enterprise value are staggering. Using a 15x multiple, the segment needs \$11.4 billion in recurring operating profit. Assuming a mature operating margin of roughly 32%, the Intel Foundry would need to generate over \$35 billion in external foundry revenue. The equity bridge logic implies Intel will not only reverse its current bleed but also capture roughly 25% to 30% of TSMC's current market scale over the next decade. Given current evidence, this is mathematically inconsistent with the immediate 3-to-5-year capacity pipeline.

INTEL FOUNDRY FACT SHEET

EMERGING_OPTION

EXTERNAL SALES
\$0.4B

OPERATING DEFICIT
-\$9.6B

ALLOCATED EV
\$170.5B

REQUIRED FUTURE EBIT
\$11.4B

KEY MILESTONE
18A High-Volume Ramp

PRIMARY DRIVER
Sovereign option value

08

Client Computing Group

Pool deep dive — current_profit_engine.

The Client Computing Group is Intel's financial bedrock. It generates \$31.4 billion in annualized net sales (57.0% of the group total) and an estimated \$10.4 billion in operating profit, at a 33.2% margin. It has been allocated \$156.0 billion in enterprise value, 24.1% of the total. The market values CCG as a traditional cash cow. At \$156 billion, the segment trades at exactly 15x its current operating profit, treating the PC processor business as a stable annuity that subsidizes foundry capital expenditures.

The PC market is a mature, cyclical industry that experienced a severe demand pull-forward during the pandemic, followed by a punishing inventory correction. The expanded market size depends on convincing consumers and enterprises that local AI processing capabilities—running inference models directly on the laptop—warrant an accelerated hardware upgrade. Intel dominates this space by volume, but faces increasing structural threats from ARM-based architectures via Apple and Qualcomm.

The unit economics of the CCG division depend on maintaining hundreds of millions of units in annual volume to absorb internal manufacturing fixed costs. By integrating NPUs into its Core Ultra processors, Intel is attempting to drive up client chip ASPs to offset any potential unit volume losses. As long as ASPs hold steady and factory utilization remains high, the segment can maintain its ~33% operating margins.

CLIENT COMPUTING
GROUP FACT SHEET

CURRENT_PROFIT_ENGINE

NET SALES

\$31.4B

OPERATING PROFIT

\$10.4B

OPERATING MARGIN

33.2%

ALLOCATED EV

\$156.0B

IMPLIED EV/EBIT

15.0x

PRIMARY THREAT

ARM-based processors

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The mechanical driver of Intel's consolidated financial forecast is the brutal intersection of product profitability and manufacturing capital intensity. The product divisions—Client Computing and Data Center—are highly functional, generating a combined \$16.4 billion in operating profit and supporting the top line with \$52.2 billion in net sales. The consolidated forecast, however, is dragged down severely by the Intel Foundry.

After deducting the \$9.6 billion foundry operating loss and \$1.5 billion in corporate/other overhead, the group is left with only \$5.2 billion in consolidated EBIT for 2026. More critically, the cash flow dynamics expose the tension in the business model. The company is projected to generate \$24.4 billion in EBITDA, but must immediately deploy \$24.3 billion in gross capital expenditure, largely directed at building physical foundry infrastructure.

This bridge reveals the precarious nature of the investment case. The current product businesses fund a venture-scale turnaround of the manufacturing division. If CCG or DCAI experience a cyclical downturn or lose material market share, operating cash flow will drop below the capital expenditure threshold, forcing the company to rely on further debt issuance or alternative financing.

BRIDGE MECHANICS

The mechanical driver of Intel's consolidated financial forecast is the brutal intersection of product profitability and manufacturing capital intensity.

The valuation reality check shows a stark disconnect between Intel's current consolidated economics and its \$646.5 billion enterprise value. Using a blended 15x to 20x EBIT framework on the company's \$5.2 billion in consolidated operating profit, current earnings would support an enterprise value of only \$80 billion to \$100 billion. The market is applying a premium of over \$500 billion based entirely on future optionality.

The product segments (CCG and DCAI) provide the only fundamental earnings floor. Evaluated as standalone fabless chip designers, their combined \$16.4 billion in operating profit could arguably support the \$456 billion allocated to them. But they are operationally integrated with the Intel Foundry.

The \$170.5 billion enterprise value assigned to the foundry operates strictly on a regulated asset or strategic option framework. It implies the physical assets, intellectual property, and geopolitical backing are worth vastly more than the negative cash flows they currently produce.

The most fragile assumption in this valuation: the foundry's option value will eventually convert into recurring cash earnings. If the 18A node fails to secure external volume, the foundry becomes a stranded asset, dragging the equity market capitalization down with it, since the debt and senior claims remain fixed.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

Scenarios differ fundamentally based on Intel Foundry execution and the competitive resilience of the Data Center segment. The variable that causes the largest valuation swing is external customer adoption of the 18A node.

In the downside scenario, if the 18A node suffers from poor defect densities or delays, tier-1 fabless designers will remain locked into TSMC. Simultaneously, if AMD continues taking x86 server share, the product divisions will experience margin compression. Intel would be forced to increase its debt load to fund ongoing foundry capex, while the enterprise value of the foundry option collapses, dragging equity value to roughly \$255 billion.

Conversely, upside depends entirely on the foundry breaking TSMC's monopoly. If Intel secures massive volume commitments for the 18A node, the foundry will be revalued from a speculative option to a mature duopoly asset. Paired with strong Gaudi 3 adoption, the enterprise value could expand to \$850 billion, aggressively driving equity value upwards against fixed debt claims.

BOTTOM LINE

The biggest unsupported assumption in the current valuation: external commercial demand for Intel's foundry services will materialize at a scale large enough to absorb \$24 billion in annual capital expenditure. The \$646.5 billion valuation is absolutely not supported by current economics; it is heavily dependent on future optionality, cyclical recovery in the data center, and geopolitical realization of the foundry's asset value. A portfolio manager should view Intel as a high-stakes, capital-intensive venture heavily correlated to sovereign semiconductor policy.

FINANCIAL BRIDGE · PART 1

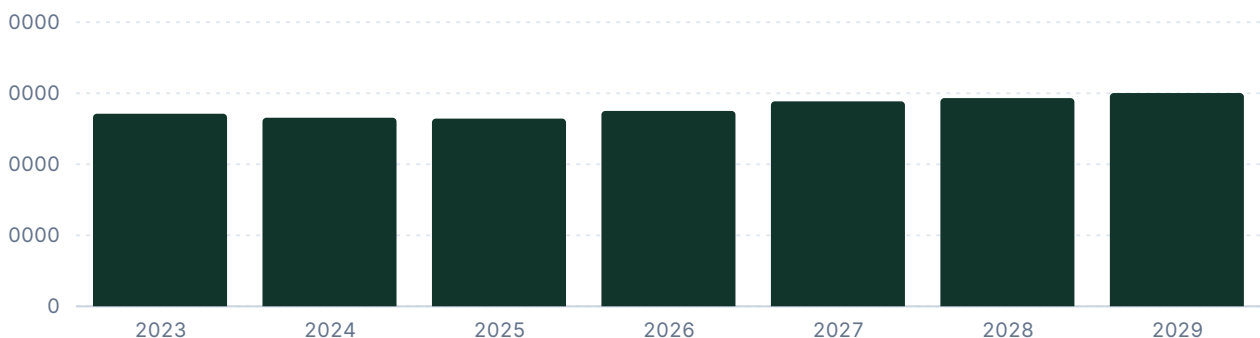
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

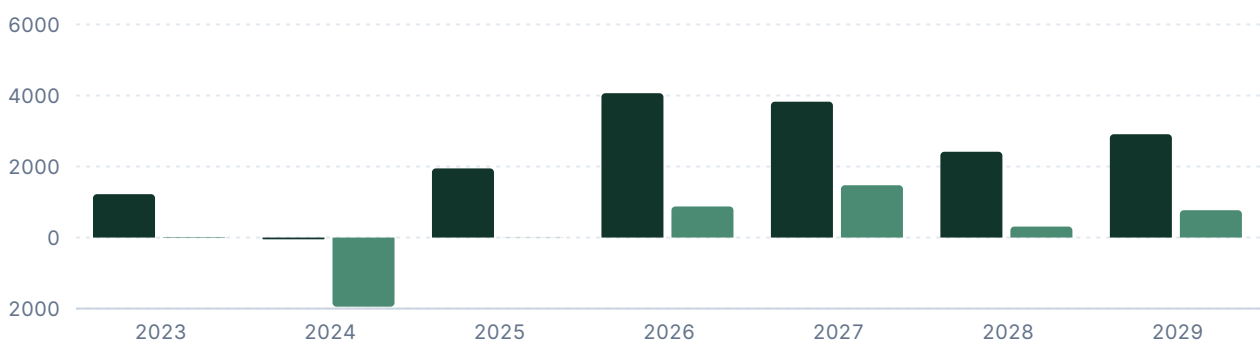
EUR millions



EBITDA & EBIT

EUR millions

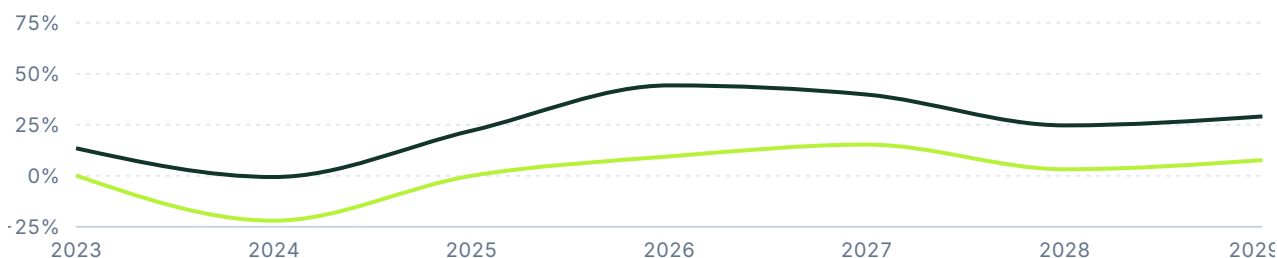
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

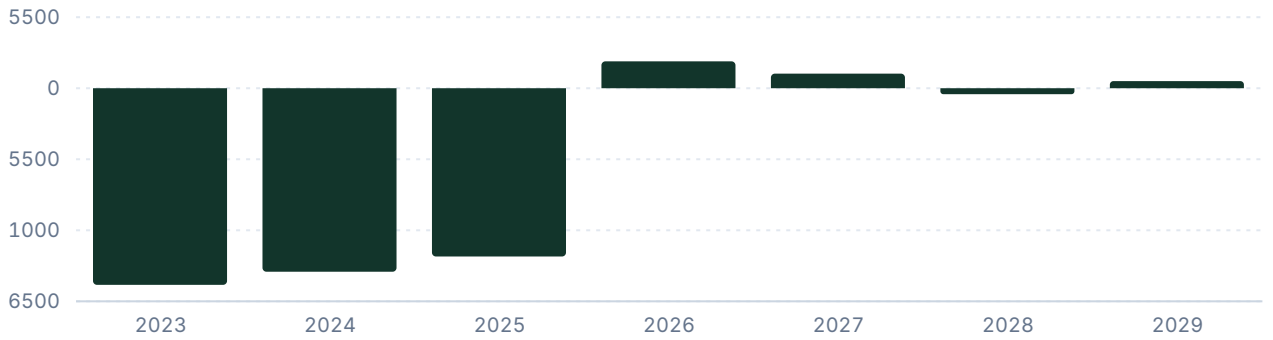
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

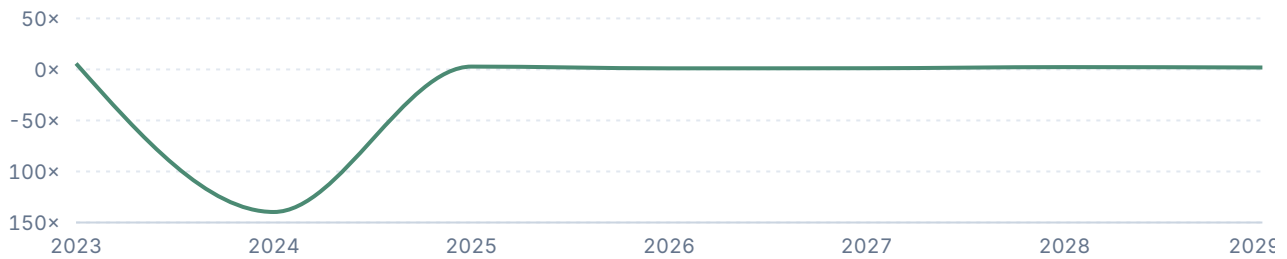
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	52,853	55,016	57,713	58,628	60,056
EBITDA	11,683	24,389	22,953	14,496	17,458
Comparable EBIT	-23	5,252	8,839	1,856	4,618
Net Earnings	26	5,102	8,857	3,746	5,815
EPS (USD)	0	1.1	1.8	0.8	1.2
DPS (USD)	0	0.8	1.4	0.6	0.9

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	
	2026
P/E	106.4×
EV/EBITDA	26.5×
EV/EBIT	123.1×
P/FCF	260.7×
P/BV	4.7×
Dividend Yield	0.7%
Net Debt / EBITDA	1.1×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV / EBITDA →	15.0×	20.0×	26.5×	30.0×	35.0×
-20% USD 19,511m	USD 292,665m USD 51.80 / sh	USD 390,220m USD 71.20 / sh	USD 517,237m USD 96.50 / sh	USD 585,330m USD 110.00 / sh	USD 682,885m USD 129.40 / sh
-10% USD 21,950m	USD 329,250m USD 59.10 / sh	USD 439,000m USD 80.90 / sh	USD 581,895m USD 109.30 / sh	USD 658,500m USD 124.60 / sh	USD 768,250m USD 146.40 / sh
Base USD 24,389m	USD 365,835m USD 66.40 / sh	USD 487,780m USD 90.60 / sh	USD 646,552m USD 122.20 / sh	USD 731,670m USD 139.10 / sh	USD 853,615m USD 163.40 / sh
+10% USD 26,828m	USD 402,420m USD 73.60 / sh	USD 536,560m USD 100.30 / sh	USD 711,210m USD 135.10 / sh	USD 804,840m USD 153.70 / sh	USD 938,980m USD 180.40 / sh
+20% USD 29,267m	USD 439,005m USD 80.90 / sh	USD 585,340m USD 110.00 / sh	USD 775,868m USD 147.90 / sh	USD 878,010m USD 168.30 / sh	USD 1,024,345m USD 197.40 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	50,000	18,000	36.0%	19.4×	349,200	316,880	USD 63.05	-45.0%
Base	55,016	24,389	44.3%	26.5×	646,309	613,989	USD 122.16	+6.5%
Bull	65,000	34,000	52.3%	25.0×	850,000	817,680	USD 162.69	+41.9%

KEY CONDITIONS

Scenarios differ fundamentally based on external customer adoption of the 18A manufacturing node and the competitive resilience of the Data Center segment. Upside depends strictly on the foundry securing multi-year tier-1 volume commitments, transforming into a mature duopoly asset. Downside triggers if 18A yield failures strand assets while AMD gains further server share.

THESIS BREAKER

Execution of non-DoD tier-1 commercial volume contracts for the 18A node would immediately revalue the foundry as a structurally sound duopoly asset.

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
18A External Customer Wins	NEAR-TERM	Intel Foundry	Announced tier-1 fabless volume contracts	Validates Foundry \$170B option value
Data Center Market Share	NEAR-TERM	Data Center and AI	Xeon 6 vs AMD EPYC revenue share	Defends DCAI margin and \$300B EV
AI Accelerator Adoption	NEAR-TERM	Data Center and AI	Gaudi 3 revenue run-rate	Determines AI premium sustainability
Foundry Operating Margin	MEDIUM-TERM	Intel Foundry	Reduction in -\$9.6B operating loss	Measures absorption of fixed capex
READ - THROUGH The catalyst that matters most is the announcement of a non-DoD, tier-1 commercial customer committing high volume to the 18A node. That is the hardest evidence the foundry turnaround is commercially viable, not just geopolitically mandated. The easiest catalyst to observe is quarterly data center revenue relative to AMD, which tests whether Intel's high product multiples are fundamentally sustained.				

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Capital Exhaustion	Group / Equity	Capex requirements outpace CCG/DCAI cash generation.	Consecutive quarters of worsening FCF	HIGH	THESIS-BREAKER IF COMBINE
TSMC Pricing Retaliation	Intel Foundry	TSMC lowers wafer prices to starve 18A of volume.	TSMC wafer discount announcements	HIGH	STRUCTURAL
ARM PC Architecture Shift	Client Computing Group	Qualcomm/Apple erode x86 laptop dominance.	ARM-based laptop market share gains	MEDIUM	STRUCTURAL
AI Compute Commoditization	Data Center and AI	Inference pricing drops, compressing Gaudi 3 margins.	AI hardware margin compression	MEDIUM	MANAGEABLE
READ - THROUGH The most thesis-breaking risk is capital exhaustion. Intel is attempting one of the most expensive corporate turnarounds in history. If cash generation from the product segments falters due to competitive pressure, Intel will lack the internal free cash flow to finish equipping its new fabs. The market severely underappreciates the risk of TSMC engaging in a pricing war to punish defectors to the 18A node.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
Net Sales	54,228	53,101	52,853	55,016	57,713	58,628
EBITDA	7,329	-299	11,683	24,389	22,953	14,496
EBITDA margin	13.5%	-0.6%	22.1%	44.3%	39.8%	24.7%
Depreciation	-7,236	-11,379	-11,706	-19,137	-14,114	-12,640
Operating Profit (EBIT)	93	-11,678	-23	5,252	8,839	1,856
EBIT margin	0.2%	-22.0%	-0.0%	9.5%	15.3%	3.2%
Net financial items	669	468	1,580	3,276	3,131	3,206
Pre-tax Profit	762	-11,210	1,557	8,528	11,970	5,062
Net Earnings	1,675	-19,233	26	5,102	8,857	3,746
PER SHARE						
EPS	0.4	-4.5	0	1.1	1.8	0.8
DPS	0.7	0.4	0	0.8	1.4	0.6
Payout ratio	185.1%	-8.3%	—	80.0%	80.0%	80.0%

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
ASSETS						
Tangible assets	97,152	107,919	105,414	110,457	115,872	117,708
Intangibles	4,589	3,691	2,772	2,885	3,027	3,075
Goodwill	27,591	24,693	23,912	23,912	23,912	23,912
Non-current assets	148,303	149,161	147,741	152,897	158,454	160,338
Inventories	11,127	12,198	11,618	12,284	12,886	13,090
Receivables	25,063	26,877	37,805	37,825	38,014	38,078
Cash & equivalents	7,079	8,249	14,265	12,643	13,263	13,473
Current assets	43,269	47,324	63,688	62,752	64,163	64,641
Total Assets	191,572	196,485	211,429	215,649	222,617	224,979
EQUITY & LIABILITIES						
Equity	109,965	105,032	126,360	131,462	136,238	132,898
Long-term debt	46,978	46,282	44,086	20,228	20,856	23,548
Short-term debt	2,300	3,729	2,499	20,228	20,856	23,548
Long-term liabilities	53,554	55,787	53,494	29,636	30,264	32,956
Current liabilities	28,053	35,666	31,575	54,550	56,115	59,125
Total liabilities & equity	191,572	196,485	211,429	215,649	222,617	224,979
CAPITAL STRUCTURE & RATIOS						
Net debt	42,199	41,762	32,320	27,814	28,449	33,623
Capital invested	152,164	146,794	158,680	159,276	164,687	166,522
Equity ratio	57.4%	53.5%	59.8%	61.0%	61.2%	59.1%
Gearing	38.4%	39.8%	25.6%	21.2%	20.9%	25.3%
Net debt / FRITDA	5.8x	-139.7x	2.8x	1.1x	1.2x	2.3x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
OPERATIONS						
CF from operations	11,515	-4,555	-1,477	28,800	23,117	16,436
Operating cash flow	14,268	-4,901	-2,646	26,375	20,801	14,063
Change in working capital	-994	-3,299	13,209	-4,560	-146	-49
INVESTING & FREE CASH						
Gross capex	27,293	12,237	10,286	24,293	19,670	14,524
Capex (ex. M&A)	-27,293	-12,237	-10,286	-24,293	-19,670	-14,524
Free Operating Cash Flow	-15,225	-14,209	-13,029	2,082	1,130	-461
Free cash flow to firm	-15,225	-14,209	-13,029	2,082	1,130	-461
FINANCING						
CF from financing	10,075	17,962	17,779	-6,128	-2,827	-1,701
Dividends paid	-5,998	-3,101	-1,605	—	-4,082	-7,086
Net change in cash	-5,703	1,170	6,016	-1,622	620	210

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	12,667	12,859	13,653	13,674
EBITDA	2,373	-163	3,675	3,577
EBITDA margin	18.7%	-1.3%	26.9%	26.2%
Comparable EBIT	-301	-3,176	683	550
EBIT margin	-2.4%	-24.7%	5.0%	4.0%
Net Earnings	-887	-3,024	4,270	-333
EPS	-0.2	-0.6	0.9	-0.1

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Intel Corporation current price 114.68 USD	114.68	MARKET DATA	Cover Page
Consolidated 2026 EBIT Forecast \$5,252m	5252	ANALYST-GENERATED ESTIMATE	Page 6 & Cross-Pool Bridge
Consensus 2026 EBITDA Estimates	18370	CONSENSUS ESTIMATES	Appendix Multiples
Intel Foundry EV Allocation \$170,463m	170463	COMPANY VALUE MAP	Value Pools & SOTP Analysis
Historical 2025 Revenue \$52,853m	52853	FINANCIAL SNAPSHOT	Historical Financials Table
Forward EV / EBITDA Multiple 26.51x	26.51	MODEL OUTPUT	Scenario Valuation Matrix
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